

A Quick Look at Cloud Cost Management Tools

Whether you are using a single cloud computing service provider or operating in a multi-cloud or hybrid cloud computing environment, you may be paying for resources that your organisation does not use at all. That is why cloud cost management is so important.



If you are a developer or software engineer, you will be using a range of cloud resources. Managing cloud costs, and knowing exactly where and why the expenditure on the cloud is happening is a huge challenge. If cloud-native technologies like microservices, containers and Kubernetes are being used, cloud utilisation may not be fully visible and the organisation may end up paying for far more services than have been used.

What is cloud cost management?

Cloud cost management is defined as the efficient monitoring, measuring and control of cloud costs. Traditionally, cloud cost management focused on cutting down cloud cost wastages in terms of under-utilised and forgotten resources but, nowadays, it focuses on architectural optimisation.

The advantages of cloud cost management are:

- High accuracy in the planning, budgeting and forecasting of cloud services
- Re-architecting resources for more profit
- Reducing operational costs and decommissioning wasteful services
- Effective load balancing management and better usage of computing resources

Cloud native cost management services

AWS Cloud Economics Center

Though the key driver for any enterprise to migrate to a cloud platform is better total cost of ownership (TCO), the benefits don't stop there today. Cloud economics or

FinOps is the term used for creating a framework that can help to derive the expenditure in cloud adoption.

When a business is growing, good planning, budget control and predicting the pattern of cloud asset usage are important. Cloud economics addresses this space. There are many third party tools like CloudHealth, Densify or Apptio Cloudability available as cost management tools, which come with financial management, advisory and advanced analytics. Most of these tools work on any cloud platform — Azure, AWS or GCP.

At the same time, there are native tools available as well for cost management like the AWS Economics Center or Cost Management console.

AWS Economics is based on a cloud value framework and has the following benefits.